Effective Date:
July 1, 2026

Background:
CalWORKs Minimum Basic Standards of Adequate Care (MBSAC) and Income In-Kind (IIK) levels are updated annually due to Cost of Living Adjustment (COLA).

Purpose:
This Special Notice provides information and instructions for eligibility staff regarding the MBSAC and IIK increase. The Scratch Budget and the CalWORKs Assistance Standards Chart have been updated with the increased MBSAC and IIK levels.

Policy:
Fiscal Year 2026-27 COLA increases the MBSAC and IIK levels by 3.59%, effective July 1, 2026.

Procedure:
Applicants
Use the updated MBSAC levels to determine financial eligibility for families who apply for CalWORKs on or after July 1, 2026. Take immediate action to review and correct any applications denied on or after July 1, 2026, if the sole reason for denial was failure to pass the CalWORKs applicant test due to the previous MBSAC or IIK amounts used.

If the Assistance Unit (AU) is not financially eligible for the application month of June 2026, evaluate eligibility beginning July 2026, using reasonably anticipated income and the updated MBSAC and IIK levels. Refer to CalWORKs Program Guide (CPG) 44-100.A.

Recipients
The COLA change is a county-initiated mid-period action for CalWORKs recipients. The updated IIK amounts are to be used prospectively with timely and adequate notice.

Impacts:
Automation
The reference tables in California Statewide Automated Welfare System (CalSAWS) have been updated with the increased MBSAC and IIK levels beginning July 2026. Management Reports (MR) have been previously provided to Family Resource Centers (FRC) to review potential impacted cases. These MRs have been posted in the 2026 – MBSAC – In-kind Income Reports folder in the MR SharePoint site.

Other Programs Affected
The updated MBSAC and IIK levels also apply to Refugee Cash Assistance (RCA) and Trafficking and Crime Victims Assistance Program (TCVAP).

References:
Welfare and Institutions Code (W&IC) 11450, 11452, 11453.
All County Letter (ACL) 26-39.

Sunset Date:
This policy will be reviewed for continuance by June 30, 2027.

Approval for Release:



Alberto Banuelos, Ph.D., Interim Director
Self-Sufficiency Services